Banking & Saving — Cheat Sheet

Financial Algebra · Unit 3: Banking & Saving

Essential vocabulary

Checking account
A bank account for everyday spending through a debit card, transfers, and checks

Savings account
An account designed for holding money and earning interest, with fewer transactions than checking

Overdraft fee
A fee charged when a transaction is paid even though the account does not have enough money

Monthly maintenance fee
A recurring charge for keeping an account open, often waived by meeting a minimum balance or direct-deposit requirement

Minimum balance requirement
The lowest balance an account must keep to avoid a fee or earn a stated rate

Out-of-network ATM fee
A charge for using an ATM not owned by your bank; often charged by both banks

Principal
The original amount of money deposited or borrowed, on which interest is calculated

Simple interest
Interest calculated only on the original principal: I = Prt

Compound interest
Interest calculated on the principal plus previously earned interest

APY (annual percentage yield)
The actual yearly rate of return including the effect of compounding

Certificate of deposit (CD)
A savings product that pays a fixed rate for a set term, usually with a penalty for early withdrawal

FDIC/NCUA insurance
Federal protection of deposits at insured banks and credit unions, up to $250,000 per depositor per ownership category

Key formulas

Simple interest	I = Prt (t in years)
Balance (simple)	A = P + Prt
Compound amount	A = P(1 + $\frac{r}{n}$)^(nt)
APY	(1 + $\frac{r}{n}$)^n − 1
Annual fee cost	monthly fee × 12 + per-use fees × uses
Adjusted balance	statement − outstanding + deposits in transit

Choosing where to save

Emergency fund	High-yield savings (liquid)
Known date 1–2 yrs	CD matching the date
Everyday spending	Checking with no/waivable fees
Safety	FDIC (banks) / NCUA (credit unions) up to $250,000

Worked example

1. $2,000 in a CD at 4% simple for 18 months
2. I = 2,000 × 0.04 × 1.5 = $120
3. Withdraw after 9 months with 3-month penalty:
4. Earned $60 − penalty $20 = $40 kept

Credit union
A member-owned, not-for-profit financial cooperative that offers banking services

Bank statement
A periodic summary of an account showing the beginning balance, deposits, withdrawals, fees, interest, and ending balance

Reconcile
To compare your own records with the bank statement and explain any differences

Outstanding transaction
A transaction you recorded that has not yet appeared on the bank statement

Direct deposit
An electronic payment of wages straight into a bank account

Liquidity
How quickly and easily money can be accessed without losing value

Common misconceptions

- Using months instead of years for t.
- APR = APY.
- Highest rate is always best.
- Overdraft coverage is free.
- FDIC covers investments.

Questions to ask before deciding

- What fees could I be charged, and how can they be waived?
- What is the APY, and is it variable?
- How quickly can I access the money?
- Is the institution FDIC- or NCUA-insured?
- Does my record match the statement?

Decision tips

- Opt out of debit overdraft coverage.
- Use in-network ATMs.
- Keep emergency savings separate from checking.
- Review statements monthly; report fraud fast.

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